



Who Taxes Whom, and Who Censors Whom?

The Intersecting Freedoms of Taxation, Privacy, and Digital Identity

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Introduction

The 21st-century digital revolution has transformed economies, redefined borders, and reshaped power dynamics between governments, corporations, and individuals. In the Philippines, digital platforms now permeate every facet of life—from online shopping and mobile banking to social media and virtual employment. While these developments offer unprecedented convenience and economic growth, they also uncover a "hidden treasure": a vast, often unregulated digital economy generating billions in untapped revenues.

However, this treasure does not come without complications. Central among them is the issue of control—both in terms of taxation and speech regulation. As the State seeks to impose taxes and assert authority over digital spaces, technical giants simultaneously exert influence over public discourse and user data. This prompts a timely and urgent inquiry: Who truly governs the digital domain—governments or platforms? Who taxes whom, and who censors whom?

Mapping the Digital Economy: The New Frontier

The digital economy refers to economic activity that results from billions of online connections among people, businesses, devices, data, and processes. In the Philippines, this includes E-commerce platforms (e.g., Lazada, Shopee), Digital services (e.g., Netflix, Spotify, YouTube), Online freelancing and gig work, Mobile applications and social media monetization (influencers, bloggers). These digital interactions are often decentralized, borderless, and non-traditional, making them difficult to regulate through physical jurisdictions and analog-era tax laws.



The Hidden Value

According to the Department of Trade and Industry (DTI), the digital economy in the Philippines was valued at ₱2.08 trillion in 2022, or roughly 9.4% of GDP.¹ However, the Bureau of Internal Revenue (BIR) estimates that a significant portion of income generated from digital transactions goes untaxed, due to non-registration, anonymity, and cross-border complexities.²

This gap represents a hidden treasure: a reservoir of revenue crucial for a developing nation but locked behind the walls of digital opacity and legal ambiguity.³

Taxing the Digital: Legal Frameworks and Challenges

The Philippine Constitution and Taxation

Under Article VI, Section 28 of the 1987 Constitution, the power of taxation is vested in Congress, provided it adheres to principles of uniformity, equity, and progressivity.⁴ But taxation must also respect the Bill of Rights, especially the rights to due process, privacy, and equal protection.⁵ Digital taxation, therefore, must strike a careful balance between State interest in revenue and individual rights in cyberspace.

Recent Developments: Legislation, Administrative Action and Jurisprudence

To address tax leakages in the digital economy, several measures have been introduced like House Bill No. 7425⁶ which seeks to impose VAT on digital services provided by non-resident foreign corporations (e.g., Netflix, Google), Revenue Memorandum Circular (RMC) No. 97-2021⁷ which mandates influencers and digital earners to declare online income and E-commerce Bureau establishment under DTI which aims to regulate and tax e-commerce activities.

¹ Dep't of Trade & Indus., *PH Digital Economy Posts 9.4% Share to GDP in 2022*, DTI (Nov. 8, 2023)

² Bureau of Internal Revenue, *Taxing the Digital Economy: Philippine BIR's Strategy and Challenges* (2023)

³ World Bank, *The Digital Economy in Southeast Asia: Strengthening the Foundations for Future Growth* 7–10 (2021)

⁴ CONST. (1987), art. VI, § 28.

⁵ CONST. (1987), art. III, §§ 1, 2, & 7.

⁶ H.R. 7425, 18th Cong., Reg. Sess. (2020) (Phil.).

⁷ Revenue Mem. Circular No. 97-2021, Bureau of Internal Revenue (Aug. 16, 2021) (Phil.).



These initiatives reflect a regulatory awakening, but enforcement remains weak. Most digital platforms are headquartered abroad and have no permanent establishment in the Philippines, making tax collection elusive.

In the country, although the Philippine courts have not yet squarely ruled on digital tax evasion, some relevant jurisprudence offers insight. In *Commissioner of Internal Revenue v. Cebu Toyo Corporation* (2005)⁸, the Supreme Court recognized digital audit documents as legitimate, paving the way for e-record audits. Moreover, the Cybercrime Prevention Act (RA 10175) upheld State authority in cyberspace but also reaffirmed the need for constitutional safeguards when regulating digital content. These actions underline the tension between State enforcement and digital liberty—a tension that becomes more acute when taxation and speech are involved.

Who Censors Whom? Freedom of Expression and Platform Power ***The Digital Commons and Corporate Governance***

The digital sphere has become the new public square, where political discourse, activism, and personal expression thrive. Platforms like Facebook, YouTube, and X (formerly Twitter) serve as intermediaries of speech—but also as gatekeepers.

While Section 4, Article III of the Constitution protects freedom of expression, it traditionally applies to State actions. Private platforms, however, operate under their own Terms of Service and community standards, leading to content takedowns and shadow-banning.

This raises the question: *Can private platforms violate constitutional rights, and should the State intervene?*

Government Regulation vs. Platform Policies

In the Philippine context, State censorship has historically been associated with authoritarianism. But in the digital age, platform censorship—which can be subtle, algorithmic, and opaque—may have greater influence over what users see, hear, or say.

⁸ *Comm'r of Internal Revenue v. Cebu Toyo Corp.*, G.R. No. 150748, 502 SCRA 89 (2006) (Phil.)



A comparative lens reveals troubling trends. During the Duterte-era, several content takedowns of critical media (e.g., Rappler) were allegedly prompted by State pressure. Further, Facebook removed hundreds of "coordinated inauthentic behavior" pages linked to political operations and TikTok banned certain hashtags or content that may be politically sensitive.

Yet, when the government asks platforms to remove content, it walks a constitutional tightrope. In *Disini v. Secretary of Justice* (2014),⁹ The Supreme Court emphasized that laws regulating online speech must be narrowly tailored and respect fundamental rights.

The landmark case *People v. Marti* (G.R. No. 81561) drew a line between State action and private conduct, ruling that the Bill of Rights only applies when the government is involved.¹⁰ This creates a dilemma in the digital space: most censorship is private, yet its consequences are public.

The Surveillance-Taxation Nexus

Tax enforcement in the digital realm often necessitates data access, raising serious privacy concerns. For instance, monitoring online wallets like GCash or PayMaya or cross-checking social media activity with declared income or compelling platforms to share user transaction data may infringe Section 2, Article III of the Constitution, which protects citizens from unreasonable searches and seizures.

While the Data Privacy Act of 2012 (RA 10173) provides safeguards, it also contains exceptions for law enforcement and tax collection, leaving room for abuse.¹¹

The Right to Digital Anonymity vs. State Accountability

Digital users often prize anonymity, especially in repressive or precarious environments. But from a tax perspective, anonymity is a loophole. How does the State enforce taxation without violating rights?

⁹ *Disini v. Sec'y of Justice*, G.R. No. 203335, 721 SCRA 575 (2014) (Phil.)

¹⁰ *People v. Marti*, G.R. No. 81561, 193 SCRA 57 (1991) (Phil.)

¹¹ Data Privacy Act of 2012, Rep. Act No. 10173 (2012) (Phil.)



Some governments have proposed real-name laws, mandatory SIM card registration, and blockchain ID integration. In the Philippines, RA 11934 (SIM Card Registration Act) sparked backlash for potential privacy infringements.¹² Thus, digital identity becomes a battleground: it is at once a tool for accountability and a threat to autonomy.

However, several countries have already made it possible to regulate the problem. Going towards global trends and learning from other jurisdictions as an example, the European Union imposed the Digital Services Act (DSA) and Digital Markets Act (DMA) to regulate content and tax practices.¹³ In India it has required significant social media intermediaries to comply with traceability and tax declarations¹⁴ and in Indonesia, it has enforced VAT on Netflix and other foreign digital service providers in 2020.¹⁵ These examples show that digital regulation is possible, but only with robust legal frameworks, technological infrastructure, and public consensus. If they can make it, why can't the Philippines?

Conclusion

The digital age is not only a frontier of innovation—it is also a theater of contested power. As governments seek to assert fiscal and moral authority in cyberspace, and platforms evolve into transnational governors of speech, the lines between public law and private code blur.

In the Philippines, the stakes are particularly high. The hidden treasure of the digital economy offers vast opportunities for national development—but only if properly harnessed. At the same time, freedom of expression and privacy must be zealously guarded to preserve democracy in the age of algorithms.

Ultimately, the question of “Who censors whom?” reveals a deeper question: Who governs in the digital age? The answer must be rooted in constitutional values, democratic participation, and legal innovation. Only then can the digital revolution become a force for empowerment, not exploitation.

¹² SIM Card Registration Act, Rep. Act No. 11934 (2022) (Phil.)

¹³ Digital Markets Act, Regulation 2022/1925, 2022 O.J. (L 265) 1 (EU)

¹⁴ Press Trust of India, *India's New IT Rules: Social Media Platforms Must Trace Messages*, NDTV (Feb. 25, 2021)

¹⁵ Reuters, *Indonesia Imposes 10% VAT on Foreign Digital Services Including Netflix and Spotify*, REUTERS (July 7, 2020)



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